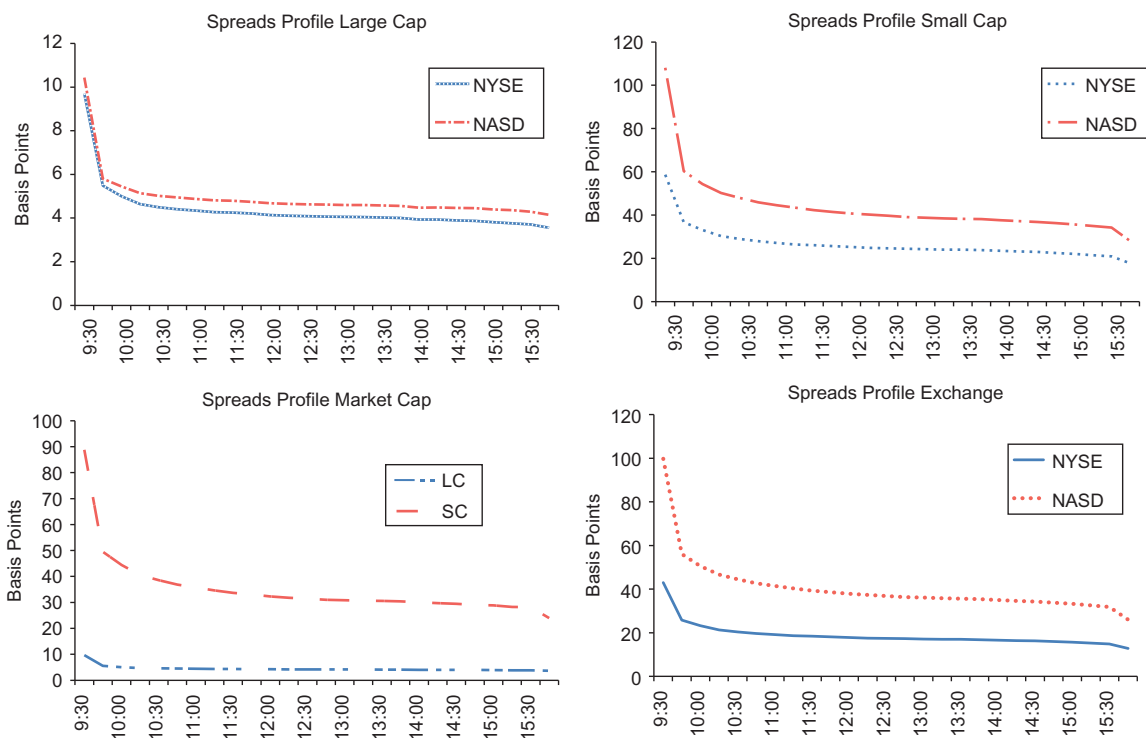




■ **Figure 2.4** Intraday Spreads.

- Intraday profiles are more “J” shaped, with only slightly more volume traded at the open and then decreasing and then increasing significantly into the close.
- NYSE listed companies trade a little less at the open and a little less at the close than NASDAQ listed companies.
- Small cap stocks trade more at the open and close than large caps.

There are five likely reasons why intraday trading patterns have shifted from a U-shaped trading pattern to a J-shaped pattern. First, similar to an increase in Friday daily volumes, where managers are less inclined to hold open positions over the weekend, traders are less inclined to hold open positions overnight and they make a more conscious effort to complete those positions before the market close. Second, there are currently fewer active investment strategies in today’s markets than previously. Active managers typically trade at the open at known and preferred prices, rather than wait until towards the end of the day when prices are not known. Third, there are more index funds and closet index funds today than